



cotopaxi

GEAR
FOR
GOOD



kōtōpā 'ksē

Headquarters: Salt Lake City - Mission: **DO GOOD** - Impact: Worldwide

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INTRODUCTION & OVERVIEW

Unlike most businesses that seek to make a profit, Cotopaxi was founded with the sole mission to alleviate poverty. Founder and CEO, Davis Smith, saw the outdoor product industry as an opportunity to do just that-- provide individuals in developing countries with jobs. Smith's vision and mission for Cotopaxi came from his experiences growing up in the Dominican Republic, Ecuador, and Puerto Rico where he witnessed poverty daily. Smith spent much of his childhood and part of his adulthood in Latin America as Smith's father had a job supervising construction for The Church of Jesus Christ of Latter-day Saints in these areas.

"Cotopaxi": Davis' time in Latin America also influenced the company's name. The name "Cotopaxi" comes from the active volcano in the Andes Mountains in Ecuador. Cotopaxi is an important component of local culture and is sacred to local indigenous communities. Additionally, Davis loved exploring and camping in Cotopaxi National Park and developed a deep affinity for the strong, hard working people of the Andes.



Cotopaxi History & Growing Success (2014-Present): Cotopaxi has experienced tremendous growth since launching as a digitally-native brand with Delaware Benefit Corporation status in 2014. Cotopaxi became a certified B Corp, created a grant program, received Fair Trade Certification, joined the Sustainable Apparel Coalition, and has significantly increased its number of employees and revenue. Cotopaxi has expanded from its strictly online platform to selling at direct-to-consumer retail stores and through wholesalers.

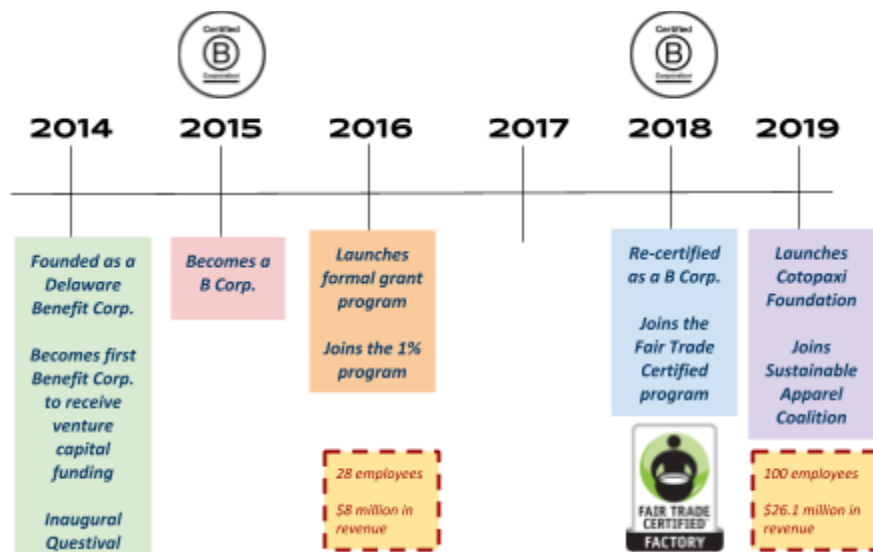


Image inspired by Cotopaxi's 2019 Annual Report

Marketing Momentum: Cotopaxi launched in 2014 with an event that has now become a signature feature of the company-- Questival (Quest + Festival). Questival combines elements of scavenger hunts and adventuring with giving back. It is a 24-hour adventure race where teams of two to six people complete outdoor challenges, such as hiking and skiing and charitable activities, such as donating food and picking up trash, to win trips, gear, and other prizes" (Wu & Huang, 2017).

In 2014, Cotopaxi's small staff went to nearby Salt Lake City college campuses to recruit the first Questival participants and Cotopaxi's target market: millennials who value social responsibility and experiences over things. They successfully encouraged one thousand people to sign up thanks to bringing two eye-catching llamas to the college campuses, Coto and Paxi. Each competing team had to post photos of its members wearing Cotopaxi backpacks in order to compete in the Questival challenges, which "resulted in 30,000 social media posts during the first 24 hours Cotopaxi was up and running" (Borison, 2014).

Product Line: Cotopaxi is a direct-to-consumer, for-profit outdoor goods company that creates "innovative outdoor products and experiences that fund sustainable poverty relief, move people to do good, and inspire adventure" (Cotopaxi, Gear for Good). "Cotopaxi's primary products [are] casual and technical apparel and technical gear for outdoor-minded individuals, predominantly millennials" (Wu & Huang, 2017). All of Cotopaxi's products weave some form of sustainability or giving back into them which highlights their famous "gear for good" philosophy. In addition to packs and bags, Cotopaxi carries the gamut of outdoor products: jackets, outerwear, fleece, sweaters, bottoms (shorts/pants), activewear, and now, masks.

INDUSTRY ANALYSIS

Industry definition: Cotopaxi is a company that offers products to the outdoor industry. The outdoor industry is a considerable industry, contributing \$427 billion (over 2 percent) of the US total Gross Domestic Product (GDP) (BEA, 2019) and almost \$900 billion in consumer spending (OIA, 2017). The sizable output from the sector can in part be contributed to its broad scope. The outdoor industry encompasses all revenue streams coming from outdoor recreation including housing, travel, equipment, and services that facilitate people spending time outside.

Cotopaxi falls under retail in the value chain; more specifically, Cotopaxi designs, markets, and sells equipment and apparel for recreational use. Outdoor retail is the second-largest component of the outdoor recreation economy, adding \$95.7 billion of value (BEA, 2019). This large sector is led by businesses like VF Corporation and Columbia Sportswear, both worth billions of dollars. Despite these large sector leaders, Cotopaxi stands out among smaller, more unique competing brands like Topo Designs, Ibex, Icebreaker, Prana, and Fjallraven.

In addition to retail, Cotopaxi engages all levels of operations to ensure ethical practices throughout the business. Examples include fair working conditions and a living wage for factory workers and long useful-life of products. We will primarily focus on Cotopaxi within the boundaries of outdoor-product retail for industry analysis; however, when relevant, we will consider Cotopaxi's involvement in other parts of the value chain specifically product design and marketing.

Description of industry in the value chain: Specialty outdoor retailers are involved in various stages of the value chain from developing new technology, design, sourcing of materials, sales, marketing, post-consumer life of the product, and additional services for customer enhancement.

History of the outdoor sector: The outdoor industry formed out of peoples' newfound desire to explore the wilderness at the end of the 1800s (Gross). A desire to be out in nature was an attitude change from previously viewing nature as dark, primitive, and not suitable for the general public. The attitude change was partially motivated by broader societal changes accepting nature as a pristine space. Congress, creation of our first national park, Yellowstone in 1887, the establishment of hunting and fishing societies, dude-ranches, and increasing understanding of our environment all helped shift the view of nature to a place where humans belonged and could escape to for recreation and wellness purposes. Equipment, such as sleeping bags and specialized clothing, were developed to enhance the outdoor experience. After WW2, veterans trained in skiing and mountaineering returned home and sought out nature for outdoor recreation (Woody). Climbing became popular in the 1950s, and the following decade was led by hiking and backpacking (Ross, 2018). These intense outdoor activities created a demand for more technical apparel and gear, and the outdoor industry kicked off. The Industry has grown and transformed from its humble beginnings to encompass the large spectrum of revenue streams we see today.

Corporate Social & Political Responsibility: The outdoor industry is, in essence, facilitating the outdoor experience and thus has a unique opportunity to educate their customers about the environment and the impact of climate change and human presence on the land (Foresight, 2019). This is not a new idea. Some of today's most well-known outdoor companies were established during the hippy era of the 1960s and 70s with influence from environmental stewardship and Whole Earth culture. Yvon Chouinard started Chouinard Equipment - the forerunner to Patagonia and Black Diamond. Dough Tompkins founded The North Face and initiated work to create a national park in Argentina and Chile. Other brands like Sierra Design, Jansport, and Lowe Alpine were also born during this era and culture (Ross, 2018).

The environmental values developed by these early companies are still strong today. Outdoor retailers are using sustainability as a strategy to create shared value and connect with customers. They are going beyond making a profit and into environmental and social justice and protecting the industry's basis, namely the outdoors (Ross, 2018). The presence of corporate social responsibility (CSR) is now so strong that it has become a criterion to compete among high-end companies such as Patagonia, Arcteryx, and The North Face. The target market of environmentally conscious millennials is demanding sustainable products and performance indicators such as B Corp and Benefit Corporation statuses, which is now a standard among many outdoor retailers. Cotopaxi is an example of an outdoor company that has achieved both of these certifications.

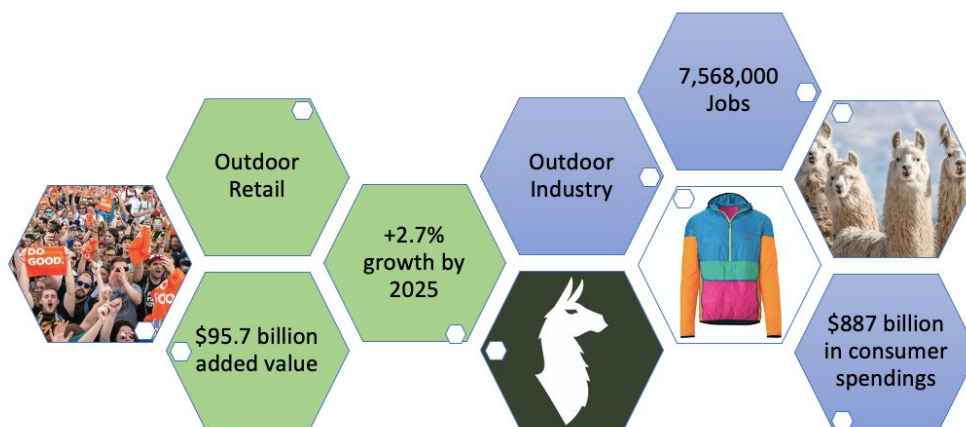
More recently, companies that have been active in advocacy are now striving to make corporate political responsibility (CPR) take root in the industry. The argument is that advocacy is more effective than individual actions in driving environmental and social change. Companies with missions to do good should back this through advocacy and transparency in their political involvement (Lyon, Delmas, Maxwell, & et al., 2018).

Current Status and growth: Every year, the outdoor economy generates billions of dollars in revenue and taxes. In 2016, outdoor recreation brought in \$887 billion in revenue, with federal and state taxes exceeding \$100 billion combined (OIA, 2017). In 2019, the outdoor industry was reported to add \$427 billion of value, over 2 percent, of the US total Gross Domestic Product (GDP) (BEA, 2019).

Retail contributes around \$100 billion annually to the industry (OIA, 2017), with big players like VF Corporation and Columbia Sportswear generating over \$2 billion in annual revenue each. Fjällräven North America, a daughter company of FENIX Outdoor, has reported annual revenues of \$40 million (growjo, n.d.) and is more on par with Cotopaxi in terms of Cotopaxi's revenue of \$100 million and the size of the business.

The industry has seen growth in the last couple of years from increased interest in outdoor recreation and higher availability of outdoor products and services. When other industries were fighting the recessions, the outdoor industry continued to grow with an average annual growth of 5% between 2005 and 2011. In 2017, the outdoor recreation economy grew almost 4 percent compared to 2.4 percent of the total US economy (BEA, 2019).

The industry supports many jobs, and in 2010, 6.4 million Americans were employed through activity-based outdoor recreation (OIA, 2010). In line with the industry's economic growth, the reported number of jobs grew to 7.6 million in 2017 (OIA, 2017). The outdoor industry's ability to create jobs is higher than tech, finance & insurance, and food & beverage, to name a few.



Overview of key technologies and technological developments: The apparel industry is the fifth largest global polluter, accounting for 10% of global emissions. The modern consumer cares about sustainability, while sustainability efforts are slowing down in the fashion industry; this is not true of the outdoor apparel industry (Nuorder, 2019). The outdoor industry leaders are focused on sustainability, yet they also incorporate the latest innovations and coined the term “techwear”. The latest technologies outdoor apparel companies offer are innovative waterproofing, light in weight, warm in extreme temperatures, and extremely durable (Nuorder, 2019). Among brands like Pure Organics, Patagonia, and Skida, Cotopaxi is a brand known to use technology to be more environmentally friendly. For example, the shell and lining of the “Monte Hybrid” jacket is made from 100% recycled materials, and the “Del Dia” backpack is made of 100% repurposed nylon (Believe in the Run, 2020). Cotopaxi has a few initiatives with recycled materials and sustainability within their supply chain. They partner with Allied Feather & down to source RDS (responsible down

standard)-certified down, and their colorful yarns are made from llama fiber at their partner factory in LaPaz, Bolivia. They are now successfully carbon offsetting their bulk shipping through carbonfund.org and flexport.org (Impact Report, 2019). Additionally, they introduced the (Re)Purpose Collection, which uses fabric leftover from other companies' larger production runs; this line also empowers employees by allowing them to change the small details, colors and add their personality (Cotopaxi, 2020).

Industry drivers and trends & recent developments: The outdoor industry's positive growth is projected to continue with an estimated 2.7% increase in retail revenue by 2025 (Fernandez, 2020). Below is a list of key trends driving this growth.

- People are more health-conscious and are seeking to spend more time outdoors
- More money and time allow people to access outdoor recreation and pay for services and goods
- Visitors to national parks and monuments are expected to rise (Fernandez, 2020)
- Millennials, a key target market, are seeking travel and outdoor adventure and have increasing affluence
- As more companies are entering the stage, the competition will increase
- E-commerce is and will continue to be an essential distribution channel and expand the reach so companies can reach more customers (Fernandez, 2020)
- Smaller, non-established companies will struggle under the pressure of continuous and new competition

COVID-19 has had negative impacts on the outdoor industry. A 9% decline in revenue is estimated for 2020 (Fernandez, 2020). This industry is partially dependent on travel and group activities, which all had to be put on hold, and with no customers in sight, businesses were shutting down. On a positive note, 2020 has been the year people flock to the outdoors (OIA, 2020). The pandemic has increased awareness of the outdoors as a space to be active and social distanced; after the initial wave of the virus quieted down, the outdoor industry was able to pick itself up. Some companies are even taking advantage of E-commerce to rebound and even increase sales (Kohler, 2020).

Five Force Analysis



1. Competitive Rivalry: Medium/High: Retailers in the outdoor industry are plentiful, and many companies are well established both among generic and specialty brands. The companies also offer similar types of products. This makes the competitive rivalry high among outdoor retailers. Cotopaxi is more on par with specialty brands but has fewer resources than some of the leading companies like Patagonia and The North Face.

Instead of driving prices down, specialty brands are competing on other factors to enhance the customer experience; many companies are offering additional services such as free or low-cost

repairs, outdoor clinics, etc. Cotopaxi is offering both free repairs and their Questival, both of which enhance customer experience and build customer loyalty. Their online store and web page also function as a hub for the community to hear about news and events.

The industry changes to incorporate more social and political responsibility allowing companies to increase prices; Customers are willing to pay more for the shared value created through sustainable business practices. Cotopaxi is leading the industry with its B Corp and Benefit Corporation labels.

2. Bargaining Power of Suppliers: Low/Medium: Specialty outdoor brands have high expectations for their suppliers. Brands are looking for both quality and sustainability from their suppliers, and high competitiveness among companies forces the brands to seek innovative solutions and develop new materials and products. Only a few suppliers can meet these strict criteria. Because of the limited number of suppliers, the suppliers gain bargaining power for negotiating higher prices (Outdoor Apparel Industry Report, n.d.).

Cotopaxi wants to be involved in the manufacturing of its products. This enables Cotopaxi to ensure product quality and also fair wages for the workers. This is costly. However, the close relationship with manufacturers can lower the bargaining power because both parties are working towards a common goal. Cotopaxi can also offset some of these costs on the end consumer because the products are responsibly made. Another advantage Cotopaxi has is the use of "scrap" material in their products; this lowers the standard of what is acceptable from a supplier because the need for consistency is lower. This is not the standard among outdoor retail companies and helps Cotopaxi to have a competitive advantage.

3. Bargaining Power of Buyers: Medium: Outdoor gear and apparel brands sell to both wholesalers and retailers or directly to the end-user. Cotopaxi is primarily selling to end-users, so the number of buyers is large, while the volume of individual purchases is small. This lowers the bargaining power of the buyer. On the flip side, the number of companies allows the end-user to shop around until they find a company that best fits their needs, increasing the buyer's power. Many companies are offering additional services to satisfy customers. Some companies offer sales products to meet the demand for lower prices, resulting in a lower profit.

Additionally, a solution to this issue is through rebuy programs where the company buys back used items to sell the items at a lower price. An example of this is Patagonia Worn Wear (SGB Media, 2020). There are several benefits to a worn wear program, including keeping the cost of goods sold low, so the profit margin can be kept high when selling at a lower price. It also supports the environmental values of reuse many of the companies have.

Even though there are many substitute products and low costs associated with switching brands, Cotopaxi has created enough brand differentiation and recognition to reduce some of the buyer's power.

4. Threat of New Entrants: Medium: The entry barriers are low among generic outdoor retailers; a high presence of E-commerce in the industry makes it easy for new and emerging companies to establish their own distribution channels. Many companies avoid costs associated with brick and mortar retail space by either fully operating online or only having a small number of flagship stores.

Besides, the costs of goods sold are low compared to many other industries. The barriers are higher for specialty brands due to the high quality of products and customers' trust and high regard for these companies.

Some brands use patented materials or technology for their technical products, such as Gore-Tex, making it harder for new competitors to compete with specialized products. Still, only a small fraction of all the products offered from outdoor retailers use advanced materials.

It is also worth mentioning that the push for corporate social- and political responsibility-standards drive up costs for companies and increase entry barriers – this is primarily a concern for specialty brands.

Cotopaxi is an example of a company lowering fixed costs with few physical locations and instead has a well-functioning online store offering all its products and sales items. Cotopaxi is also among the brands pushing for CSR to advance the industry and is trusted to deliver what is promised; Cotopaxi helps set the bar of expectations high.

5. Threat of Substitute Products: High: Outdoor retailers offer similar products of varying prices and quality making it easy for customers to shop around between the brands; in other words, there are many substitute products on the outdoor retail market. Additionally, customers often want and have products from different brands, and these products are usually compatible with each other. This means there is little to no cost switching between substitute products. Overall, the threat of substitute products is high and outdoor brands have minimal wiggle room for increasing prices, or decreasing quality, without running the risk of losing customers.

Cotopaxi is currently offering products around the same price range, maybe a little lower, than competitors such as Patagonia, and Fjallraven, with their quality being a little below the average of these specialty brands. Cotopaxi has to be careful if raising their prices without making changes to quality. On the other hand, Cotopaxi has been a trendsetter with its colorful and fun backpacks and apparel that differentiate their products and lower the threat of substitute products.

Key Success Factors: Retailers in the outdoor industry have to work hard to create competitive advantages and differentiate themselves in the market. The brands run the risk of low profit margins when competing on price and should instead focus on these factors to drive success.

- Differentiate among the many generic and specialty brands
- Integrate CSR & CPR into the business model to keep up with industry standards
- Consider the functionality of products and how this contributes to enhance the outdoor experience for the end user
- Added value and enhance customer experience through additional services such as repair services and building a community and loyalty around the brand
- Keeping fixed cost low ex. more online stores/less brick and mortar in low traffic locations

Analyzing the outdoor industry, it becomes clear that Cotopaxi has done many things right, proving they can share the market with some of the more prominent, well-known brands like Patagonia, The

North Face, Columbia, and more. The company has integrated several of the key success factors we identified for the industry; creating shared value, using E-commerce to reach more customers, and keeping costs down. And, despite its young age, Cotopaxi has established itself as a fun and vibrant brand with bright colors, an adventure-seeking community, and missions to do good. In the following sections, we will take a more in-depth look at Cotopaxi to better understand their success and how they can become even better.

STRATEGIC ANALYSIS

Mission, Purpose, and Values: Cotopaxi has created an incredibly strong and uniting vision for their company by coalescing around the belief that “business can and should be a force for good” (Cotopaxi Impact Report, 2019). This belief is what shapes their mission, purpose, and values. On the most basic level, Cotopaxi’s mission, or as they refer to it, “their creed” is simply “Do Good.” Their purpose is stated as follows, “We create innovative outdoor products and experiences that fund sustainable poverty relief, move people to do good, and inspire adventure” (Cotopaxi Website, 2020). Cotopaxi has stated their values as the following:

Innovation, Elegance, Timelessness, Honesty, Fun, Thoroughness, Ethics, Simplicity (Cotopaxi Website, 2020). These values correspond to how their products are created and also how the company operates internally and externally. This vision, which is highlighted through purpose, mission, and values, allows Cotopaxi to position their company as more than just an outdoor product retailer. It’s truly a “philosophy of business and life” that comes directly from “the personal core values and beliefs of the leaders of the organization” (Collins & Lazier, 1992). It effectively guides every aspect of the company. Even though the mission is not as well-defined as it could be according to Collins & Lazier’s mission definition, this is still a strong example of a shared vision that has allowed Cotopaxi to not only define itself internally but also make a sustained impact on the outdoor product industry.



*Del Día Tarak backpack
courtesy of cotopaxi.com*

Description of business unit and products: Cotopaxi only has one business unit, which is their outdoor product line. This consists of different products including men’s and women’s backpacks, travel bags, apparel, and sleeping bags. Cotopaxi’s most well-known and recognizable product line is their Del Día backpack line, which was the company’s first product. The backpacks are made with recycled scraps of ripstop fabric from other company’s larger production runs, which means that no two bags are exactly the same and because “90% of standard apparel’s carbon footprint comes from the material and dyeing process” (Cotopaxi Website, 2020) these products are also sustainable. Cotopaxi’s Teca windbreakers are similarly a colorful signature, and are also made using recycled scraps. Another product of note is Cotopaxi’s Libre sweater which is made entirely from llama fiber sourced directly from farmers in Bolivia and, at the time, was the most funded sweater in Kickstarter’s history (Cotopaxi, 2017). The

Del Día backpacks, Teca windbreakers, and Libre sweaters are also all unisex products, which makes them gender inclusive. Although, as Cotopaxi’s Director of Brand and Impact Annie Agle put it, “The whole idea is to facilitate real human interactions. The product is almost secondary to our do-good mission and getting outside, having an adventure, and having a full life” (Hafen, 2020).

Place in the value chain: Cotopaxi is a unique brand within the outdoor products industry as they manage many activities within the value chain: design, manufacturing, marketing, and retail. Although Cotopaxi is part of the product-retail industry, in this section, our team focused mainly on Cotopaxi's position in the value chain within product design and marketing as a way to narrow our focus.

Primary target market: Cotopaxi's primary target market is a younger audience, specifically Millennials (age range 24-38 years), who value experiences more than things and believe that their purchases should be socially responsible. This generation "has larger buying power than other generations," and, "according to the U.S. Census Bureau, the youngest Millennials will have reached adulthood by 2020 and will account for 28 percent of the U.S. population, as well as 50 percent of the working population" (OIA, 2020). In the company's own words, "We're basically building the next generation of outdoor brands, targeting the millennial consumer. So really, ... not just selling gear, but creating experiences. Also, having core values that inspire the world" (Ulrich, 2017).



Image courtesy of OIA 2020 Forecasting Report

Value proposition to the customer: Initially, Cotopaxi addresses their target customer's needs and creates value by designing and producing high quality, on-trend outdoor products and apparel that appeal to their target market. Their products are developed with high quality materials like Polartec® Alpha® active insulation, ripstop, locally sourced and exclusive llama fiber fleece for insulation, and RDS (responsible down standard) certified down, which, when combined with effective design, lead to functional product value. The design of the products exemplify a fun, hassle-free approach to adventure (Cotopaxi Website, 2020), which is another key to the target millennial market. This approach highlights that Cotopaxi "embod[ies] functional and aesthetic demands that are based on needs and the intended user" (McKinsey, 2017), which is a key way to create value for customers. Cotopaxi also stands behind the quality of their products while still offering a competitive price. They guarantee all of their products for 61 years and are able to offer "products at 10%–15% below comparable products, because it [is] direct-to-consumer and thus sustained a more efficient margin structure than most of its competitors, which relied on a wholesale model" (Wu & Huang, 2017). Although in recent years Cotopaxi has started to become a wholesaler to companies like REI and Backcountry, it has still maintained these competitive prices that put their products towards the lower end of the high-end outdoor product market compared to companies like Patagonia, Fjällräven, and Topo Designs who sell more expensive, but similar products.

Additionally, Cotopaxi's deep commitment to their social humanitarian mission of alleviating poverty offers value to the target market of millennial customers who value responsibility in all forms from the companies they buy from. "Millennials have the highest expectations for brands to take a stand on values" with "seven in 10 US Millennials [saying they] actively consider company values when making a purchase" (Lai, 2018). This means Cotopaxi's target customers want to know that Cotopaxi stands for something more than their products. Cotopaxi delivers this value well. Customers might not know that Cotopaxi began as a Benefit Corporation, that they are a Certified B Corporation, or that they run

their own non-profit foundation, but it is clear that the company's social mission is woven into every part of Cotopaxi's DNA - it's why the company was founded (as stated in an NPR Interview with Davis Smith in May 2020)! From the second a customer enters Cotopaxi's website to buy a product, they can read detailed descriptions of how and why materials were sourced in certain ways, see evidence of how connected and transparent Cotopaxi is about their employees and manufacturing, and understand how their purchase gives back through avenues like providing sustainable jobs or giving back 1% of all annual revenues to their Foundation. All Cotopaxi products come with the substantial guarantee that they were created ethically and fairly in both the social and environmental sense, which is a main source of Cotopaxi's value proposition to customers.

The third source of Cotopaxi's value proposition to customers can be seen in how the company positions itself through marketing by creating experiences around their brand that add value for their target customers. Cotopaxi's signature Questival event is the main way that Cotopaxi creates experiential value for customers because it allows their target market to combine fun with giving back and connects customers to a community of like-minded individuals. This successful example of a "branded service" helps customers see Cotopaxi as "caring about the customers' welfare. Customers experience these benefits and develop a positive attitude that fosters trust" (Perreault et, al., 2012). This branded service is clearly valued based on Questival's growth. In 2014, Cotopaxi began with one Questival, but by 2017 there were 60 around the United States (Jedrzejszak, 2017), which shows that Cotopaxi's target market values this experience. The Questival shows that Cotopaxi is more than just a backpack or sweater, it is focussed on its customers and giving them the best experience possible, which adds value.

Another important factor highlighted through Questival is the perception of social status and niche depiction of trendy fun imbued in Cotopaxi products, which is underlaid with deep values of social responsibility. Cotopaxi has been able to position itself in the market as a fun, upbeat, cool, and socially conscious brand, which offers value to customers as both a "social signal" and as a "holistic brand" (Dean & Pacheco, 2014). In this case, Cotopaxi products are initially "differentiated on the basis of aesthetics and design" (Dean & Pacheco, 2014), which serve as a signal to the target market about the customer's strong social consciousness and allow customers "to send a message about their priorities" and "show others how thoughtful they are about the state of the world and how savvy they are about cutting-edge technology" (Dean & Pacheco, 2014). For example, in the Del Día and Teca lines, Cotopaxi states, "each colorway is also limited-edition. Once your favorite sells out, it's gone for good!" (Cotopaxi Website, 2020). The unique, brightly colored Cotopaxi products in this case are the exclusive, aesthetic technology purchases. Of course, relying only on the trendy status signal of a product means Cotopaxi can be threatened by the changing tides of attitude, so the company has also worked to develop a holistic approach. To create an image of a holistic brand, many of Cotopaxi's advertisements focus first on what you can do with the products to prove to people that their products are worth buying and will work for their outdoor needs (see Cotopaxi Instagram ad featuring Bataan Del Día). Despite this initial focus, "these brands stand by their environmental and social values and attract a wave of



consumers who are loyal to them for those reasons” (Dean & Pacheco, 2014). Providing value as both a value signal to others and a holistic company allows Cotopaxi to become a valued specialty product that customers will specifically seek out.

Detailed analysis of 6 major competitors: The outdoor products industry is large with many competitors vying for similar target markets in this space. The outdoor product brands that can most closely be considered competitors to Cotopaxi based on a shared customer base and target market are The North Face, Topo Designs, Fjällräven, Patagonia, Dick’s Sporting Goods, and L.L. Bean. An analysis of this group of competitors is important because while these companies differ in their marketing, value propositions, resources, differentiation, and the directness of competition to Cotopaxi, all of them are competing in the same arena. In founder Davis Smith’s words, “We are building the next Patagonia, the next North Face, we are building the next big outdoor brand...and the mission behind this business is of course building something that can change the world, that can make the world a better place” (Jones, 2016). So, Cotopaxi must be compared to these larger brands despite their comparative newness. Information on each company below was found through an analysis of official company websites, available company financial information, official social media, product design, and marketing.

Company	Products Sold & Tagline	Average Pricing	Company Resources	Strengths	Weaknesses
The North Face -Est. 1966 -Alameda, CA -Employees: 3,000	Outdoor Products including backpacks, tents, and apparel <i>Never Stop Exploring.</i>	\$105	-Large resources -Owned by VF Corp, 10.27 billion revenue in 2019	-Industry leader/legacy brand -Strong brand awareness -High customer satisfaction -Successful distribution and product penetration in market -Strong environmental focus	-No unique value proposition to customer or differentiation from competitors -Perception of quality is slightly lower than other specialty brands -Not as much on the cutting edge of outdoor technology
Topo Designs -Est. 2008 -Denver, CO -Employees: 58	Outdoor and urban Backpacks, bags, apparel <i>Made for anywhere on your map.</i>	\$155	-Smaller resources, but growing -Approx. 20 million revenue in 2019	-Product appeal in both outdoor and urban settings -Appeal to target millennial market -Growing awareness of brand	-Lower brand recognition -Less appeal to strictly outdoor product consumers -Lack of visibly strong environmental and social impact
Fjällräven -Est. 1960 -Örnsköldsvi, Sweden -Employees 2,492	Outdoor and urban backpacks and apparel <i>For those who don't know the mountains, but want to.</i>	\$138	-Large resources -Owned by Fenix Outdoors, \$5.8 billion in revenue in 2019	-Good brand awareness -Perception of high quality -Strong vision and mission -Effective marketing strategies -Has a couple very popular, differentiated products -Strong environmental impact	-Smaller penetration outside of trademark products -Product price above competitors on most products -Lack of innovation compared to some other competitors
Patagonia -Est. 1973 -Ventura, CA -Employees 3,000	Outdoor apparel, backpacks, and gear <i>We're in business to save our home planet.</i>	\$140	-Medium/large resources -Approximately 800 million in revenue in 2019	-Industry leader/legacy brand -Strong brand recognition -Combine product quality with advocacy and environmental focus -Appeal to multiple target markets -Sustained competitive advantage -Great reputation and marketing	-Strong political stance could result in lost sales -Uses a traditional supply chain, so has reliance on that -Fairly expensive price point
Dick’s Sporting Goods -Est. 1948	Outdoor apparel, backpacks, and gear	\$30	-Large resources -8.4 billion in revenue in 2019	-Competitive pricing -Large market share of low - middle income shoppers -Has a lot of brands, which	-Products are not perceived as high quality -No strong social or environmental focus -Not on the cutting edge of outdoor

-Coraopolis, PA -Employees 30,000	<i>Every season starts at Dick's Sporting Goods.</i>			increases brand variety -Strong customer satisfaction -Maintains high revenue	technology or development of new products -Not a lot of range in their product variety
L.L. Bean -Est. 1912 -Freeport, ME -Employees	Outdoor apparel, backpacks, and gear <i>Be an Outsider.</i>	\$80	-Large resources -1.6 billion revenue in 2019	-Strong brand recognition -Legacy brand status, trusted brand -Competitive pricing on many products -Strong product variety	-Not a lot of differentiation from competitors -Lack of unique value proposition -Weaker online shopping platform -Not on the cutting edge of outdoor technology

This competitor analysis highlights that these companies are similar in terms of products, but differ in their average prices, resources available to them for activities like marketing and product design, brand recognition, quality perceptions, and levels of differentiation. Legacy brands like Patagonia, The North Face, and L.L. Bean are very well-known in the United States outdoor product industry and make it difficult, but not impossible, for new entrants to emerge. Fjällräven is an incredibly successful international company with significant resources that is entering the United States market successfully. Dick's Sporting Goods is a lower price point competitor, but is incredibly successful in generating revenue and gaining a market share of the lower-middle income outdoor product market. Topo Designs, another backpack designer, is perhaps the most direct competitor to Cotopaxi here. One important note of difference here is that all of these companies have been around longer than Cotopaxi and are also operating with more resources (with the exception of Topo Designs). So, differentiation is key for success. For further analysis of these competitors and Cotopaxi's place among them, see *Blue Ocean* analysis.

Source of differentiation relative to customers: Cotopaxi's methods for differentiation overlap with the ways they create shared value for customers. Cotopaxi started out differentiating their company and drawing customers in with their story. In an interview with Forbes magazine, CEO and Founder Davis Smith explains how "buying a llama (whose wool is the primary insulator in many of Cotopaxi's jackets) and taking it around to various college campuses in a trailer to promote a 24-hour adventure race sponsored by Cotopaxi called Questival" (Taylor, 2017) was one of the main keys to Cotopaxi's initial success and differentiated the company in the eyes of potential customers. This marketing generated buzz and the first Questival sparked a loyal customer base to the company that has grown each year and generated more loyal customers for Cotopaxi who are connected to the brand through more than just a website - through their own story and experiences. Industry analyses point to the fact that "consumers who buy outdoor gear and apparel are also well traveled, understand the impact (good and bad) of their purchasing decisions, and love a good story" (Taylor, 2017). Cotopaxi not only tells this good story but helps their customers tell it for themselves and therein lies a large source of differentiation for customers. Cotopaxi allows customers to become fully immersed in every aspect of their brand from the design, to the manufacturing, to the final experience of the product. The development of this transparency behind the product, combined with the experiential component of the Questival makes Cotopaxi different and highlights to customers that you can do a lot of good while also having a lot of fun. It allows customers to be connected to the brand in a different and more meaningful way than their competitors and is a successful form of differentiation.

Cotopaxi's deep focus on their social impact mission of alleviating poverty is another large source of differentiation for customers. Many competing environmental brands focus more strongly on their

environmental impact, but Cotopaxi took a different approach by focusing more on social impact and community. The company has stayed true to this mission through their creation of fair jobs, sustainable supply chain, and transparency in manufacturing. All of these social impacts are highly visible on the company's website and also deeply integrated into the Questival events. This social impact is also discussed more in our Impact Analysis and remains a significant source of Cotopaxi's differentiation. When the company was starting out, even initial investors saw the social mission as a differentiating factor for the business (Wu & Huang, 2017).

Additionally, as perceptions of what it means to be outdoors change and the athleisure trend holds strong (OIA, 2020), Cotopaxi continues to be able to differentiate their company for customers through the products themselves. "Cotopaxi's signature fluorescent, color-block nylon windbreakers and bags" (Jedrzejczak, 2017) are trendy and eye-catching, which allows the products to stand out in a sea of more neutral or uniform colored competing goods. They are different from those around them. Cotopaxi highlights this point on their website with two values: 1. "Timelessness: Our products are classics...They do not rely on trends, so their appeal persists with time" and 2. "Fun; Our products do not take themselves too seriously. They function well and delight users with the unexpected" (Cotopaxi website, 2020). The combination of these two values combined with the underlying "Gear for Good" promise is clear just by looking at the products. They're colorful, different, and stylish which allows them to be used in urban, athleisure, and outdoor settings. And the fact that you can tell a Cotopaxi product just by looking at it, is a simple, but highly effective form of differentiation relative to customers.



Teca Windbreaker - Unisex
courtesy of cotopaxi.com

Source of competitive advantage and sustainability thereof: The source of Cotopaxi's competitive advantage began with the company starting as a "digital native vertical brand (DNVB)," which is "the opposite of a traditional chain brick and mortar store. They tell a passionate virtual story online that brings consumers along for the ride" (Taylor, 2017). This approach also leads to less start-up costs, overhead, and fixed expenses. And, for a DNVB, "the product gross margins are at least double that of e-commerce (e.g. 65% versus 30%). The contribution margins can be 4–5x higher (e.g. 40–50% versus 10%)" (Dunn, 2016). Additionally, "the digitally-native vertical brand drives a lot more customer intimacy than its competition" (Dunn, 2016). For example, even the Questival started with "an app designed in-house [that] allows teams to customize their own obstacle races while getting points for what Davis calls "flash mobs of service" (Jedrzejczak, 2017) to help participants create their own, ideal experience. This combination of starting online as a DNVB allowed Cotopaxi to combine a direct focus on customer service with the development of direct and meaningful ties with its manufacturers and suppliers around the world, which culminated in the development of a slightly less expensive product that still allowed Cotopaxi to live up to their values. The company could produce high quality, unique goods in a socially responsible way while saving on costs, which additionally occurred through a direct-to-consumer sales approach. These factors allowed Cotopaxi to offer quality and well-designed products at a less expensive price than competitors (average range of \$70 - \$125) and fulfill their mission. This leads to competitive advantage because "if you have the right design, at the right price point, that is driving sustainability and customer experience in a demonstrable way—that is a key driver of growth for your offering" (McKinsey, 2017).

In the Podcast “How I Built This” CEO Davis Smith highlights that his idea for founding a company with such a deep foundation rooted in doing good turned some investors away, but he was so committed to the idea that a company should give back that he did not give up until he could bring his vision of Cotopaxi to life (Raz, 2020). This unwillingness to compromise the values of the company is also part of Cotopaxi’s competitive advantage because a “benefit of the social mission was that the firm was able to recruit and retain talent at wages lower than comparable positions at firms without a social mission” (Wu & Huang, 2017). Combined with the differentiation Cotopaxi receives from their Questival event, this creates a competitive advantage for Cotopaxi that many of the more entrenched competitors in this industry do not have. Cotopaxi’s competitors, none of whom have the same event, are not fully imitating this strategy yet. This competitive advantage has allowed Cotopaxi “to nail that elusive Millennial retail balance between product quality, design innovation, profit, storytelling, brand loyalty, and paying it forward” (Taylor, 2017).

The sustainability of this competitive advantage is not impossible, but it will require work. As Cotopaxi grows, they begin to follow a wholesale model like many of their successful outdoor product competitors and are also opening up some of their own dedicated stores. This may tempt them to raise their prices because even as they expand, lowering costs based on economies of scale might be difficult because so many of their signature products are made in smaller quantities and would not be easy to mass produce. This could take away some of their price based competitive advantage unless they can find a way to differentiate themselves more fully based on the quality of their products over competitors like Patagonia and The North Face. This will be difficult, so it seems like the most effective strategy will be for Cotopaxi to invest more in the Questival to maintain their competitive advantage and continue to do something no one else is by increasing their focus on the customer and potentially developing even more events that cultivate this type of brand loyalty through customer experience and value added.

Core competencies (tangible and intangible resources) that lead to competitive advantage:

As mentioned previously, one of Cotopaxi’s core competencies is their ability to engage their target millennial market with excitement building based on experiential events like the Questival (a tangible resource). This event positions Cotopaxi as a company that’s about more than just selling goods and allows Cotopaxi to have high engagement with customers at multiple touchpoints, which increases customer loyalty around more than just a product. Cotopaxi has developed a “brand community... designed to serve the interests of its members and the brand often enjoys increased customer loyalty, larger purchases, or simply being viewed as a trusted partner” (Perreault et al., 2012). This developed loyalty and goodwill through the Questival is a great example of an intangible resource that has led to Cotopaxi’s competitive advantage and has allowed them to grow their business through increased revenue and positive word of mouth promotion. Cotopaxi’s social mission is another intangible resource that leads to their competitive advantage through both differentiation externally and also internally with the company’s employees. Having a mission that people genuinely care about is a great way to motivate employees and get them more excited to work because “positive social impact correlates with higher job satisfaction—when companies “give back,” employees react with enthusiasm” (Henisz et al., 2019). This point directly relates to benefit for Cotopaxi because “employees with a sense not just of satisfaction but also of connection perform better” (Henisz et al., 2019). This motivation resulting from connection to a social mission can be seen in Cotopaxi’s high employee engagement ratings and is another intangible resource that will help them maintain their

competitive advantage. Although not expressly stated, Cotopaxi “may have patents, patent applications, trademarks, copyrights, or other intellectual property rights” (Cotopaxi, 2020) and this would be another intangible asset.

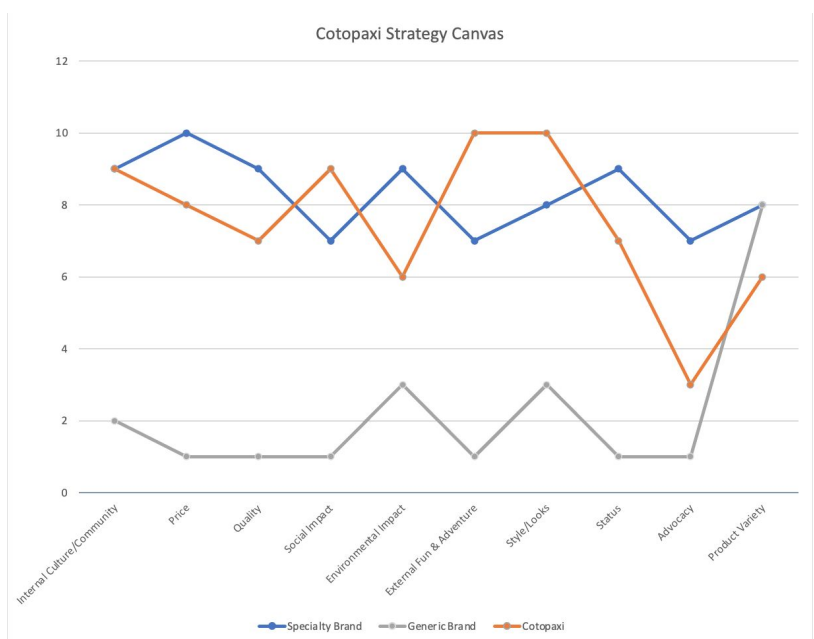
Tangible resources that have led to the Cotopaxi’s competitive advantage include the company’s manufacturing and supply chain process. Cotopaxi did not cut corners when developing their supply chain, and worked hard to develop it in the most just and sustainable way possible. This development has led to positive relationships with suppliers and has allowed Cotopaxi to directly source raw materials like llama fibers directly from their source (Cotopaxi Website, 2020) - this is a tangible raw material resource that leads to the creation of unique products. Social media is also another tangible resource that Cotopaxi leverages well. The company uses social media to hype and highlight not just their products, but how their products can be used to create meaningful experiences. Their use of this technology for marketing is a tangible resource that leads to intangible resources like engagement, customer loyalty, and presumably increased revenue. Product design is another tangible resource that allows Cotopaxi to create their competitive advantage. As discussed previously, Cotopaxi products are designed with different, bright colors that differentiate the product from competitors. The product design is a resource in itself because the more well-known Cotopaxi gets, the more recognizable their signature color patterns will become, which will lead to increased brand awareness, revenue, and sustainability through competitive advantage.

Major opportunities, weaknesses or threats: Opportunities: As a newer company, Cotopaxi has an opportunity to build brand awareness and recognition on a greater level to increase penetration of their brand in the target market and increase sales. The more product revenue that Cotopaxi can generate, the larger an impact they can have on the world through their social mission, which is a great opportunity. An additional opportunity involves Cotopaxi moving beyond trends and superficial appeal to become a brand that is increasingly seen as one of high quality as well as high purpose. Basically, there is an opportunity for Cotopaxi to focus more of their attention on becoming a holistic brand rather than just a value signal because this will increase their sustainability in the long term. Cotopaxi also has a distinct opportunity to differentiate itself on an even greater level to truly create more of a “Blue Ocean” for their products through their Questival and a few other factors discussed more in our below Blue Ocean analysis. There is also an opportunity to increase sales in the wholesale arena as a way to differentiate their revenue streams more and increase revenue. **Weakness:** Cotopaxi initially had some difficulty marketing their product because the “low cost was not necessarily synonymous with top quality and charitability” (Wu & Huang, 2017). This weakness persists today because Cotopaxi is not quite seen on the same quality level of competitors like Patagonia. An additional weakness is the fact that Cotopaxi is not as focused on their environmental mission as many of the other outdoor product competitors in this space. This is a weakness because although Cotopaxi has a lot of appeal from their social impact, they may be missing a segment of their target market who care more about environmental impact than social. Another potential weakness is the fact that if Cotopaxi relies too strongly on trends to appeal to customers, their products may go out of style. **Threats:** Low barriers of entry in the outdoor product industry means there is a large threat of new competitors that could take Cotopaxi’s place if they cannot maintain their competitive advantage. The threat of other outdoor product companies trying to mimic Cotopaxi’s colorful product design or develop a similar experience to the Questival is also a possibility. Cotopaxi is also still a relatively new company, and they must show that they have staying power and prolonged

profitability in this industry. Another potential threat is the effect the COVID-19 pandemic might have on the in-person Questival event, which cannot happen while the country is still in the midst of a pandemic, and was one of the main ways Cotopaxi marketed and gained new customers. Additionally, many in the industry are vying for a similar target market, which is a threat.

Blue Ocean Strategy Analysis: Based on the methods outlined in *Blue Ocean Strategy: From Theory to Practice*, we have developed a strategy canvas to highlight where Cotopaxi currently falls among its main competitors who are separated into two groups: 1. Those that provide specialty outdoor products (Patagonia, Topo Designs, The North Face, ect.) in blue, and 2. Those that provide generic outdoor products (Walmart, Dick’s Sporting Goods, ect.) in grey.

This strategy canvas highlights that there are some successful strategic measures Cotopaxi has taken to create a “Blue Ocean” (external fun/adventure, social impact, and style) out of a very red one, but there are some additional factors that they should also consider to create a place in their industry with less competition and less potential for imitability. These factors have been split up in the four categories outlined: Eliminate, Reduce, Raise, and Create. **Eliminate:** Cotopaxi should eliminate high prices as a signal for quality for at least one product to dive into a blue ocean where specialty and generic brands are not competing. **Reduce:** Cotopaxi could potentially reduce factors of price and quality for one product to get closer to the middle of the curve and have at least one more affordable product. **Raise:** Cotopaxi should raise their advocacy levels and environmental impact. These factors may not put them in a “Blue Ocean,” but they are still necessary because this deeply appeals to their target market and without this will put them at a disadvantage against other companies. **Create:** Cotopaxi created Questival, and this is one major area where they should continue to develop and create more in. These factors are also discussed more in our recommendation section.



IMPACT ANALYSIS

Social: CEO Davis Smith founded Cotopaxi “with a humanitarian mission at its core” (Davis Smith). Smith spent his entire childhood and part of his adulthood in the developing world in Latin America. He witnessed “lives destroyed by heartbreaking poverty and lack of opportunity” and felt a responsibility to create a positive change (Ritchie, 2015). Smith founded Cotopaxi as a vehicle to alleviate poverty through socially and environmentally sustainable opportunities. Founded in this mission, Cotopaxi utilizes design and manufacturing as opportunities to minimize negative impacts on the environment and improve the lives of individuals who make Cotopaxi products.

As Smith mentioned in an interview with NPR, he was never specifically passionate about starting an outdoor products business. Instead, he was compelled to start an outdoor clothing and product business simply because of its capacity to create the most revenue to decrease global poverty. Cotopaxi's products are just means to a greater impact. In choosing an industry that wasn't particularly exciting to him, Smith made one of the most socially responsible choices of all. Should he have chosen to pursue a less profitable but more enjoyable industry, he would have been sacrificing his ability to create greater impact. In this way, Smith is setting a great example for social entrepreneurs everywhere, encouraging them to first think critically about the problem they're trying to solve, rather than beginning with their solution. Only after assessing the problem should entrepreneurs begin thinking of potential businesses that could solve it.

Cotopaxi Foundation + Commitment to Refugees in the United States

In 2019, Cotopaxi launched the Cotopaxi Foundation. The Cotopaxi Foundation "awards 1% of the company's revenue to outstanding nonprofit partners alleviating poverty in the Americas" (Cotopaxi, 2019). Through this foundation, Cotopaxi awards multi-year grants that focus on education, health care access, and entrepreneurship. In the United States, Cotopaxi partners with the International Rescue Committee in Salt Lake City to "host educational events for refugee youth, offer bridge employment through [Cotopaxi's] card-writing program, and contribute[s] to the Cotopaxi Refugee Scholarship Fund (Cotopaxi, The Cotopaxi Foundation). Cotopaxi also works with Utah Refugee Services to offer bridge employment opportunities through their repairs program.

A potential downfall of Cotopaxi's impact reporting methods is evident in their reported short-term impact outcomes of their operations. Examples include the amount of mosquito nets distributed, number of youth who were able to complete their primary education, and total refugees who were provided meals as a result of Cotopaxi's efforts. While these numbers are great and inspiring, it is not a true measure of impact. Mosquito nets can be distributed, but never used. Similarly, the implications of empowering youth to complete their primary education goes beyond just that. The same idea applies for refugees receiving meals. Better measures of impact would quantify the decline in malaria as a result of net distribution, not simply net distribution. Instead of only measuring how many youth completed their primary education, Cotopaxi should instead measure how these students' incomes later in life compare to youth who did not complete their primary education. Finally, to better measure long-term impact, Cotopaxi should measure whether refugees who were provided meals were more likely to have increased long-term indicators of success and happiness, rather than just measuring the amount of meals provided. While Cotopaxi's Impact Reports are impressive, they do not show whether Cotopaxi is creating true, lasting change. Additionally, Cotopaxi interestingly does not include impact data on its factories and employees internationally. As a result, it is impossible to tell whether Cotopaxi actually enhances people's lives - both employees and grant recipients - in the long-term.

Operations and Employee Experience

Cotopaxi prioritizes high standards of transparency in its supply chain and employee well-being. All factories are shared publicly, and Cotopaxi conducts a formal audit with all suppliers. Cotopaxi works with "manufacturing partners to support worker and sustainability programs, such as organic gardens, Fair Trade scholarships, and employee carpooling" (Cotopaxi, 2019). Ethics drives Cotopaxi products' entire lifecycle from design to manufacturing to final sale (Our Factories). Each factory Cotopaxi works

with “agrees to a rigorous code of conduct, completes an audit or relevant certification, and agrees to help promote fair labor practices.

Cotopaxi also incorporates its mission-first approach throughout the employee experience, community, events, and governance. Cotopaxi’s board of directors is one of the most diverse in the start-up network, and employees are rewarded with stock options. Additionally, in 2019, Cotopaxi employees contributed over 1,300 hours of volunteer time.

Social + Environmental + Do Good = Questival (Unified Marketing), 61 year guarantee

Cotopaxi hosts an annual adventure race that is designed to engage teams in quality times on a mission to “Do Good.” The “challenges” involve helping people in the local community and supporting small businesses. In terms of marketing, Questival has boosted Cotopaxi’s recognition both nationally and internationally and appeals to its target millennial audience (Foreman, 2019). Questival encapsulates the mission-first culture of Cotopaxi. Since the first Questival in 2014 (which launched Cotopaxi), “Cotopaxi has picked up over 1 million pieces of litter and donated over 15,000 items of food and 1,500 liters of blood” (Foreman, 2019; Cotopaxi, 2019). Additionally, all Cotopaxi products have a 61-year guarantee, which is the average lifetime of a person in the underdeveloped world. This guarantee ensures customers that Cotopaxi products were created ethically and fairly, prioritizing social and environmental responsibility.

Environmental: Realizing that “climate change will eventually surpass disease and forced human migration as the leading cause for economic upheaval and poverty,” Cotopaxi has focused its recent efforts on sustainability and reducing their carbon footprint (Cotopaxi, 2019). Cotopaxi maps their supply chain, offsets carbon emissions associated with bulk shipping, and invests in their own (Re)Purpose Collection. Cotopaxi is also a member of the Sustainable Apparel Coalition. Cotopaxi “aims to use only remnant or recycled fabric” in their products, which is the signature trait of their multi-colored outdoor products. Most products are made with sustainable materials, such as recycled nylon, responsibly sourced down, and remnant fleece (Cotopaxi, 2019). In 2019, Cotopaxi partnered with Flexport and carbonfund.org to offset all of their bulk shipping through reforestation in the Amazon and through alternative energy programs (Cotopaxi, 2019).

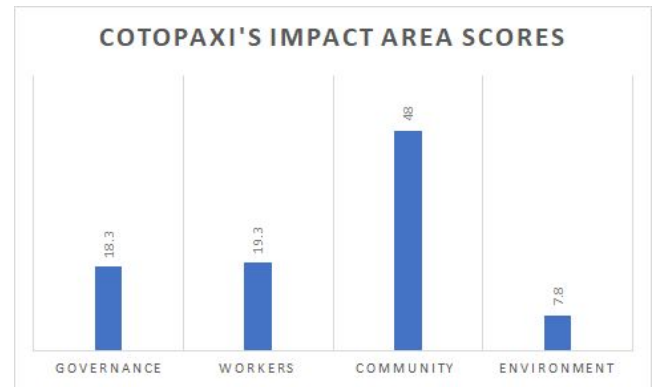
- Product Lines meet environmental sustainability:
 - Del Dia: uses 100% remnant fabrics (fabrics that could have easily ended up in a landfill) to create one-of-a-kind products hand selected by employees in the Philippines
 - Repurposed Materials Collection
 - Other product lines with 100% or a very high percentage of recycled materials: Teca windbreaker and Fleece, Mariposa collection, Monte Hybrid Jacket, and Bandera crew

Certified B Corporation: Cotopaxi was founded in 2014 as a Delaware Benefit Corporation and then became a Certified B Corporation in 2015. In 2018, Cotopaxi was recertified as a B Corp and also joined the Fair Trade Certified program (Cotopaxi, 2019). On a scale of 1-200, Cotopaxi’s overall score is 93.6. Contextually, the average company B Impact score is 80 (Certified B Corporation, 2019).

Strengths & Weaknesses

Cotopaxi’s deeply-rooted mission in people and alleviating poverty is evident as “Community” is Cotopaxi’s highest impact area score, 48. Environment is Cotopaxi’s lowest rated impact area score at

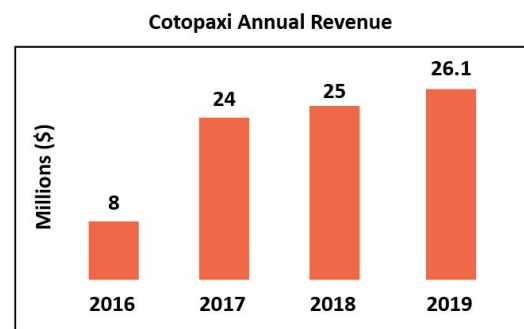
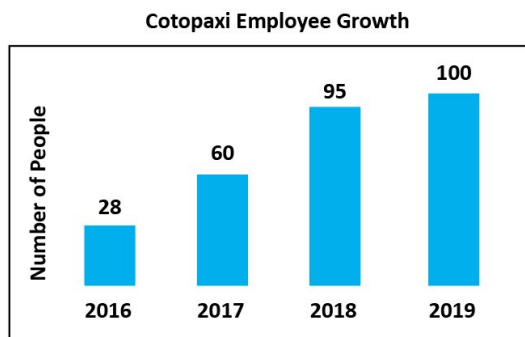
7.8. Cotopaxi's main production factories are located abroad and have varying levels of environmental policies, programs, and compliance, ranging from energy efficient machines in China to using organic cotton in India. While carbon costs of bulk shipping orders are offset, shipping Cotopaxi products around the world creates a great amount of carbon emissions. CEO Davis Smith comments on the reason behind this noticeable difference between people/community and the environment impact scores in a May 2020 interview with NPR: "Our brand innovation is around people [...] all other brands in the outdoor industry focus on the environment. I love the environment, we need to protect it, and I'm so glad so many people care about it, but what I felt was needed moving forward was taking it a step further [...] we need to care about people. What about people that live in extreme poverty? We have an opportunity to eradicate extreme poverty in our lifetime, and I want to be a part of that." Cotopaxi's people-focused mission is their key differentiator from other outdoor industry apparel companies. Cotopaxi's Director of Impact and Brand certifies that Cotopaxi's mission stays aligned through all levels of the company-- operations, the foundation, and employee engagement. In fact, in Cotopaxi's first year of business, they hired an Impact Director before a Marketing Director (Smith, 2020).



Advocacy: Cotopaxi is not currently involved in formal Corporate Political Responsibility initiatives. Rather, Cotopaxi leads by example through their company operations and supporting organizations prioritizing education, health care access, entrepreneurship, and supporting refugees. During the 2020 election, Cotopaxi's social media channels encouraged their followers to "Vote for Good" but did not indicate what kind of "good." Advocacy is an opportunity for growth for Cotopaxi. If the outdoor industry requires or highly encourages advocacy in the near future, this is an area where Cotopaxi will be behind. Additionally, it is important to note that Cotopaxi's factories are located in some of the most socially and environmentally vulnerable areas (Philippines, China, India, and Bolivia). Cotopaxi has an opportunity to publicly support policies focused on climate change and labor standards, for example, that would provide long-term benefits for the specific individuals in these areas that Cotopaxi is trying to transition out of poverty.



FINANCIAL ANALYSIS & SUCCESS INDICATORS



As Cotopaxi is a private company, their financial reports are not widely available. However, other indicators of success are available and show Cotopaxi's growth over time. For example, Cotopaxi's annual revenues for the years 2016-2019 are available online and show steady and promising increases over the years (Privco, 2020). In 2017, their revenues of \$24 million tripled from the previous years revenues of only \$8 million. In the years following this exponential increase, revenues increased more slowly and steadily, increasing to \$25 million and \$26.1 million in 2018 and 2019, respectively (Privco, 2020). Another indicator of success is the number of employees at the company, numbering 28 people in 2016. This number more than doubled the following year, totaling 60 employees. In 2018 and 2019, employee numbers rose again to 95 and 100. The opening of new storefronts in both Utah and Denver are also indicators of investment and success.

CONTEXT AND IMPLICATIONS OF COTOPAXI

This section exists to supplement the lack of financial information, as Cotopaxi's financial statements are not widely available. As a result, this section addresses the context within which Cotopaxi operates, including alternative perspectives and implications about the founder's identity and history. This section is not meant to criticize Cotopaxi or any other group of people; rather, it is meant to critically analyze the company and its founder, looking beyond their marketing materials. This section provides context to the company and helps gain a larger understanding of the system within which Cotopaxi operates. As consumers begin to hold corporations accountable, more businesses are expected to incorporate social and environmental missions into their businesses (Schaeffer, 2019). As a result, this type of analysis is critical to be an ethical and responsible consumer. Deceptive and false sustainability claims, often referred to as 'greenwashing,' make it difficult for consumers to find accurate, objective, and reliable information (Watson, 2016). This section aims to provide alternative lenses within which to view Cotopaxi, instead of taking their claims at face value. With this section, we hope to empower consumers to be thoughtful and intentional when choosing to buy from any company.

As has been noted by many news sources, Cotopaxi has become a model for businesses hoping to do well while doing good, based on their social and financial indicators of success. However, as social enterprises increase in popularity, it's becoming more evident that, regardless of good intentions, businesses like these can cause more harm than good. The shoe company, Toms, has been crucified for their originally novel and inspiring one-for-one business model whereby Toms donates a pair of shoes to someone in need for every pair sold (Knowledge@Wharton, 2015). By supplying impoverished places with shoes for free without deep collaboration with local players, the 'benefiting' communities are actually harmed by this seemingly benevolent practice. These inundations of free shoes not only put local cobblers out of work, but they increase reliability on outside forces to bring communities out of poverty. This practice strips local people of their agency to make their own change and implies that places like this need the help of outside forces to create change. With this lens and with the various social implications of how attempts to do good, especially internationally, can backfire, this section will objectively and critically analyze whether Cotopaxi's approach to doing good is actually successful.

Religious & Environmental Implications: Cotopaxi's founder, Davis Smith, is a member of the Church of Latter Day Saints (LDS) and has spent his whole life with the church, as stated in an interview with

NPR (Smith, 2020). As a young adult, he spent two years living in Bolivia on a mission trip, as most young Mormons are encouraged to do (Jones, 2016). While it is clear that Smith has good intentions and clearly wants to make a difference in people's lives, it is worth exploring whether Cotopaxi's approach is truly ethical and equitable. While seemingly unrelated, Smith's religion may have interesting implications for Cotopaxi's environmental stances. As described earlier, Cotopaxi differs from its competitors in that social issues, rather than environmental, are the main objectives of the company. Thinking of Cotopaxi in the context of its founder's religious leanings, this seems to be consistent with what Hunter and Toney describe as the traditional anti-environment stance of Mormon political leaders (2005). A 1991 report outlining the environmental policies of different religions in the United States rated Mormonism in the lowest category, that of formal declaration of inaction on climate issues (Foltz, 2000). Taking this larger background into consideration, perhaps the reason Cotopaxi has yet to formally introduce a robust environmental impact plan or sustainability program is because launching these initiatives could be inconsistent with his personal beliefs. However, Foltz recognizes the growing population of Mormon environmentalists, including politicians like House of Representatives member Wayne Owens, and describes how many environmental conservation efforts are consistent with, rather than in opposition to, Mormon values and beliefs (2000). Additionally, Cotopaxi and its Mormon founder are sources of immense pride in the Mormon community, as the LDS-owned Deseret News describes (Jones, 2016). As a result, Smith may be hesitant to implement environmental programs and initiatives that are at odds with his beliefs or that may result in backlash from the LDS community. It is critical to note that this analysis hinges on the assumption that Smith holds political beliefs traditional to Mormons.

It is also important to note that Cotopaxi is also not an anti-environment company, as they do not directly oppose environmental practices. Environmental issues are simply not their priority. Additionally, the company uses remnant fabrics in their production which reduces waste from productions, a practice commonly highlighted as having positive environmental impacts (Cotopaxi, 2017). However, because Cotopaxi does not prioritize the profound effect that environmental issues have on the social issues he is attempting to solve, Cotopaxi underestimates the disproportionately negative effects that climate change has on developing countries, including the locations of Cotopaxi's manufacturing plants. These plants are in various countries with less strict pollution laws and environmental degradation prevention measures, meaning that Cotopaxi is able to save money by not mitigating negative environmental impacts. As a result, for Cotopaxi to make a truly significant impact in alleviating global poverty, environmental issues should also be addressed, even if these issues are in conflict with Smith's personal beliefs.

Cotopaxi & the White Savior Complex: In his article, Teju Cole coined the term White Savior Industrial Complex (WSIC), which describes the mindset of often well-intentioned people attempting to help marginalized populations. Generally, WSIC refers to people attempting to help those that they have unknowingly disenfranchised through systemic oppression (Cole, 2012). However, because these systemic issues are often intangible and too large to identify, the 'savior' receives credit and praise for 'helping,' when in fact their actions do more harm than good. While this example outlines WSIC as seen in individuals, organizations and enterprises can also fall into the WSIC mindset. This section will analyze Cotopaxi in light of two major components of WSIC to evaluate whether Cotopaxi is making impact in the most ethical and equitable way.

Firstly, entities exhibiting WSIC give no agency to the people that they are trying to help. Philanthropies and charities are often criticized for this, as money is often the only ‘solution’ offered to benefiting communities (Doane, 2020). While this may be well-intentioned, it also ignores the fact that the beneficiaries of the money are capable of making this money on their own. It also does not recognize how poverty is a result of the systems at play, not of the capabilities of the people subject to the system. Additionally, donating money to a cause is not a large-scale solution to a systemic issue and does not create lasting, sustainable change. This contrasts with the tactic of using money at the local level to create jobs or implement structures to tackle these issues over the long-term. In this scenario, the ‘helpers’ are recognizing the abilities and agency of the local people to create their own change (Doane, 2020). When considering Cotopaxi in this way, it is evident that the company empowers local people to create sustainable, systemic change through the creation of local jobs. Additionally, Cotopaxi’s employees are encouraged to be creative and develop some of the products’ designs, further enhancing a sense of agency in the workplace. For these reasons, Cotopaxi is setting a great example of how to avoid the WSIC by enabling communities to generate lasting wealth in these impoverished areas.

Another important aspect of the WSIC is the support of policies that have led to the very humanitarian crises that the ‘white savior’ is attempting to solve (Cole, 2012). In other words, many people unknowingly support systems and policies that are detrimental to the communities that the person is trying to help. In the context of Cotopaxi, Smith is incredibly dedicated to eradicating global poverty through his business. However, in order to achieve true, holistic change, he must also recognize how he has unintentionally created poverty in the places that he is attempting to serve. This support may be in the form of his individual vote, through his support of specific presidential administrations, or through his participation in the Church of LDS. Given the previous discussion on Mormons’ typical political leanings, it is possible that Smith has voted for and supported conservative candidates who have implemented policies to the detriment of Smith’s employees’ home countries. Additionally, Smith should critically think about whether the LDS Church causes unintended harm on the local communities he is trying to help, as the church has historically disenfranchised already marginalized populations of black people and LGBTQ+ communities (Barker et al, 2016; Mauss, 1981). In light of this information, Cotopaxi’s lack of formal political action is especially concerning. United States foreign policy and international development initiatives have the ability to directly impact Cotopaxi’s employees. For Smith to plead ignorance to these policies and choose to remain uninvolved in politics is short-sighted and dangerous. He cannot claim that his company is objectively helping these communities if he refuses to see how he fits into the system. Only after understanding the big picture and taking relevant action can Cotopaxi be recognized as a true force of positive change.

International Factory Implications: In this section, it’s important to recognize some assumptions. Firstly, this section assumes that Cotopaxi places its factories in impoverished areas with lower average household incomes than that of Cotopaxi’s target market. Additionally, this section assumes that employees in Cotopaxi’s factories earn a smaller hourly wage than factory workers in the United States and have less disposable income than Cotopaxi’s target market. Considering these assumptions, if Cotopaxi instead chose to manufacture domestically, they would be required to pay their workers more due to differences in living wages across the globe. Additionally, because developing countries have less environmental regulations, Cotopaxi saves money since they are not

required to mitigate their environmental damage in these places. As a result, Cotopaxi spends less money on employees and on environmental protections, which can be seen as exploitative in order to maximize profit. Additionally, the spontaneous, experience-oriented lifestyle that the Cotopaxi brand endorses and encourages is out of reach for employees in Cotopaxi's factories. There is an economic disparity between the person making and buying the product. While not the most expensive in the industry, Cotopaxi's products are indeed targeted at affluent consumers. This disparity is off-putting, as the employees creating the product would almost certainly never be able to afford one. Even in the United States, with higher incomes than in developing countries, Cotopaxi's products are not affordable to the average consumer. This makes the brand, lifestyle, and mission less believable because Cotopaxi is not truly accessible to all.

Adaptability to Covid: While Cotopaxi has some ways to improve, they have shown incredible resilience and promise in the face of the Covid-19 pandemic. Once Cotopaxi closed its brick-and-mortar stores and saw online sales declining, Smith was quick to find alternate sources of revenue (Glazer, 2020). His priority was to keep his business alive and to ensure his employees could keep their jobs. To do this, he identified businesses that experienced increased sales due to the pandemic-- one of which being an emergency and survival kit company called Uncharted Supply (Raymond, 2020). Overwhelmed with an inundation of orders and unable to quickly process them all, Uncharted Supply was happy to have Cotopaxi's assistance. By identifying and committing to alternate sources of revenue during a detrimental time for small businesses, Smith demonstrated his unwavering commitment to ensuring that his employees were able to keep their jobs in times of widespread financial distress. Other unique opportunities presented themselves to Cotopaxi to help build their brand, even in a time when most businesses saw the pandemic as nothing but a setback. For instance, in partnership with the Utah Jazz basketball team and B Corp, Cotopaxi created and sold their #OneUtah shirt, the proceeds of which were donated to Covid relief efforts (Weaver, 2020). While the venture was not profitable, Smith sees this campaign still being beneficial to the brand by proving to customers that they are invested in improving community members' lives in the face of hardship (Glazer, 2020). Additionally, they moved their unique and defining Questival event online due to Covid-19 restrictions, which showed commitment to maintaining a sense of community with their customers and supporters, even when it would have been easier to simply postpone the Questival until a later date.

ANALYSIS, RECOMMENDATIONS, & CONCLUSION

Analysis: Cotopaxi's strategy of focusing on their social mission and community building with their customers has built a recognizable brand known for more than just their products. They appeal to the socially conscious millennial who values experiences more than things. As a Certified B Corporation, Cotopaxi does a good job staying in line with their mission and purpose to alleviate poverty and provide good jobs to people who need them.

Cotopaxi's competitive position is growing, but will require work to maintain and develop. Many of the things Cotopaxi is doing well, other competitors are doing too. Cotopaxi's initial strategy of starting online as a digitally native brand has positioned them well to lower startup costs and provide a valuable experience for customers. It is accessible to their millennial, tech-savvy user, and this has allowed them to generate awareness and grow their company. Additionally, Cotopaxi's use of

remnant fabrics from other companies creates one of a kind colorful products unlike any other in the outdoor product industry, which also allows consumers to feel good about their purchases.

In terms of sustainability and CSR practices, Cotopaxi is strong socially, but weaker environmentally. Ethics drives their entire operations as well as their Cotopaxi Foundation. Environmentally, Cotopaxi uses carbon offsets, remnant materials, and factories have varying environmental standards; however Cotopaxi could improve in their environmental impact. These factors lead to a strong competitive advantage, but as many companies increase their social missions and focus on new events, this could come under attack.

Prospects will be good for Cotopaxi if they embrace a stronger environmental mission, vision, and strategy. If not, they will be a standalone socially focussed outdoor product company. Given their increasing revenues, employees, and storefronts, we expect Cotopaxi to continue to grow and succeed. Additionally, the outdoor industry is changing to be more socially focussed, and Cotopaxi is ahead of the curve in that respect, which puts them in a strong position for the future. They also have an incredibly loyal customer base, which has strong potential for growth and will help Cotopaxi.

Recommendations : While Cotopaxi is doing great work, there is always room for improvement. Here are a few recommendations that we think will increase Cotopaxi's competitive advantage:

- It is great that they care so much about people. The extra step they take to give back to people in need, take care of their own employees, and connect with local and international communities is truly inspiring, yet Cotopaxi is falling behind their competitors when it comes to environmental sustainability. Not only do they come short here, they seem to shirk the responsibility, handing it off for others to pick up the slack. It is good that they consider social responsibility to be a huge priority, but they could really do well if they stepped up environmental sustainability practices and capture more of the modern day environmentally-conscious consumer market.
- It would be very beneficial for Cotopaxi to report their key performance indicators. Their impact report lacks tangible data. Creating actual impact numbers will also encourage the outdoor industry to follow suit. If Cotopaxi wants to be a leader in the sustainable outdoor industry, they need to show what kind of difference they are capable of making. Davis Smith said "We're shaking up the outdoor industry"(Smith, 2020), our question is: How?
- Now that corporate sustainability has gone mainstream, it is increasingly important for companies to be clear about what policies they support. Corporate political actions can have a large influence on environmental protection, and arguably represent the greatest impact a company can have on protecting the environment (Lyon, 2018). Cotopaxi has a very vague political standpoint. They have done little more than encourage people to vote. They make no political stances and their slogan "Do Good" is great and makes people feel good, but what does that mean? The ambiguity of their place in politics is disappointing. It is the responsibility of companies who claim to be environmentally and socially responsible to leverage their publicity and create the most possible impact by being transparent about their political standpoints. Consumers will be motivated to support Cotopaxi, who in return will use their platform to speak out about key public issues.

- In order to create community-driven impact, Cotopaxi should create an advisory board of local factory employees and community members to better align the “Do Good” intent and impact of Cotopaxi.

Conclusion: “Will Cotopaxi change the world? It is still way too early to tell, but we’re confident that Smith and his brand are clearly and traceably aiming to do good” - Outside Magazine (Cotopaxi Website, 2020). Davis Smith had sound intentions when he started Cotopaxi and they have implemented a lot of great strategies and techniques into their products and brands. From selfies with llamas to the #OneUtah merchandise, everything has been done with people in mind in a unique way in an industry full of competition and copycats. Although Cotopaxi has many areas for improvement, they have ultimately proven that a company can do well by doing good. This paves a positive path for companies to not only mimic, but build off of what Cotopaxi has done and take “doing good” to the next level. If Cotopaxi increases its political advocacy they will be seen as a leader in the industry and would have a chance to create lasting change both domestically and internationally and push for industry standards to be both social and environmental. Cotopaxi can stand apart in the outdoor industry and truly work towards alleviating poverty and creating a quality of life for all, especially their employees abroad, by incorporating community input, enhancing their environmental impact, and becoming politically active. Additionally, by coming together with other key players in the outdoor recreation and apparel space, Cotopaxi has the ability to enhance the social and environmental mission of the entire industry and create systems change.

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